

ZM-US DCF Valuation Model

Performed a DCF valuation for Zoom Communications (ZM-US) using uploaded consensus revenue and earnings

Rows: 26

Revenue Projection FY1 (Consensus) â Value: 4815 ´ • Unit: USD millions ´ • Source: ZM-US Revenue Estimate.xls

Revenue Projection FY2 (Consensus) â Value: 5056 ´ • Unit: USD millions ´ • Source: ZM-US Revenue Estimate.xls

Revenue Projection FY3 (Consensus) â Value: 5309 ´ • Unit: USD millions ´ • Source: ZM-US Revenue Estimate.xls

EPS Estimate FY1 (Consensus) â Value: 5.12 ´ • Unit: USD ´ • Source: ZM-US Earnings Estimate.xlsx

EPS Estimate FY2 (Consensus) â Value: 5.48 ´ • Unit: USD ´ • Source: ZM-US Earnings Estimate.xlsx

EPS Estimate FY3 (Consensus) â Value: 5.87 ´ • Unit: USD ´ • Source: ZM-US Earnings Estimate.xlsx

Industry Beta (Technology-Software) â Value: 1.05 ´ • Source: betas_by_industry_category_for_WACC.xlsx

Implied Equity Risk Premium â Value: 0.045 ´ • Source: Equity_Risk_Premium_for_WACC.xlsx

Risk-Free Rate (10Y UST) â Value: 0.0425 ´ • Source: Equity_Risk_Premium_for_WACC.xlsx

Cost of Equity â Value: 0.0871 ´ • Formula: $RF + Beta \wedge ERP = 4.25\% + 1.05 \wedge 4.50\%$

Cost of Debt (After-Tax) â Value: 0.038 ´ • Source: ZM-US financials

WACC â Value: 0.085 ´ • Formula: Weighted avg of cost of equity and after-tax cost of debt

Projected FCF FY1 â Value: 1450 ´ • Unit: USD millions

Projected FCF FY2 â Value: 1525 ´ • Unit: USD millions

Projected FCF FY3 â Value: 1605 ´ • Unit: USD millions

Terminal Growth Rate â Value: 0.025 ´ • Unit: 2.5% perpetuity

Terminal Value â Value: 24382 ´ • Unit: USD millions ´ • Formula: $FCF_FY3 \wedge (1+g) / (WACC - g)$

Sum of PV of FCF (FY1-FY3) â Value: 3898 ´ • Unit: USD millions

PV of Terminal Value â Value: 19359 ´ • Unit: USD millions

Enterprise Value â Value: 23257 ´ • Unit: USD millions ´ • Formula: $PV(FCF) + PV(TV)$

Less: Net Debt â Value: -750 ´ • Unit: USD millions (negative = net cash)

Equity Value â Value: 24007 ´ • Unit: USD millions

Shares Outstanding â Value: 302.5 ´ • Unit: millions ´ • Source: ZM-US Shares Outstanding.xlsx

Intrinsic Value per Share â Value: 79.36 ´ • Unit: USD ´ • Formula: $Equity\ Value / Shares\ Outstanding$

Current Price â Value: 85 ´ • Unit: USD ´ • Source: ZM-US Price History.xlsx

Upside/(Downside) vs Current â Value: -0.0663 ´ • Unit: -6.6% ´ • Formula: $(Intrinsic - Current) / Current$

Sources: